

CHAPTER- 5

Accounting for Sales Agency and Principal; Branches and Head Office

Sales Agency/Agent Basic features

- performs only a small portion of the functions associated branch.
- carries samples of products but does not have an inventory of merchandise and
- usually lesser degree of autonomy.

Sales Agency/Agent Basic features

- Orders are taken from **customers and transmitted to** the Principal
- The **principal** approves the customers' credit and ships the merchandise directly to customers.

Basic Features (Cont.d...)

- The sales agency's receivable are maintained by the principal.
- The principal also performs collection function.
- A Petty cash fund generally is maintained at sales agency for the payment of operating expenses.

Basic Features (Cont...)

- A sales agency that does not carry an inventory of merchandise, maintain receivables, or make collections **has no need for a complete set of accounting.**

Cont.d...

- If the Home Office wants to measure the profitability of each sales agency separately,
- it will establish in the general ledger **separate revenue and expense accounts in the name of the agency,**
- for example, *Sales: Sales Agency; Rent Expense: Sales Agency.*

Cont.d...

- The cost of goods sold by each agency also must be measured.
- When perpetual inventory system is used, shipments to customers by sales agency,
- for example, are *debited to Cost of Goods Sold: Sales Agency account* and *credited to Inventories account*.

Illustration

Journal entries required at the home office (XYZ PLC.) in connection with a sales agency (Shashemene Agency), assuming the perpetual inventory system is used:

Transactions

1. XYZ transferred inventory of \$1,500 to Shashemene Agency
2. Established of Imprest cash fund of Shahsemene sales Agency for \$1000.
3. Shashemene sales Agent sold \$50,000 of goods which has cost of 35,000.
4. Paid \$10,000 of operating Expenses of the sales Agent.

Solutions

Inventory Samples: Shashemene Agency	1,500	
Inventories		1,500
To record merchandise shipped to sales agency for use as samples		
Imprest Cash Fund: Shashemene Agency	1,000	
Cash		1,000
To establish Imprest cash fund for sales agency		
Trade Accounts Receivable	50,000	
Sales: Shashemene Agency		50,000
To record sales made by sales agency		
Cost of Goods Sold: Shashemene Agency	35,000	
Inventories		35,000
To record cost of merchandise sold by sales agency		

Solutions

Operating Expenses: Shashemene Agency	10,000	
Cash		10,000
To replenish Imprest cash fund (several checks during the period)		

Sales: Shashemene Agency	50,000	
Cost of Goods Sold: Shashemene Agency	35,000	
Operating Expenses: Shashemene Agency	10,000	
Income Summary: Shashemene Agency	5,000	
To close revenue and expense accounts to a separate income summary ledger account for a sales agency		

Income Summary: Shashemene Agency	5,000	
Income Summary		5,000
To close net income of sales agency to Income Summary ledger account		

Branches

- Branch: is a business unit located at some distance from Home Office.
- It is a **unit**:
 - **carries merchandise obtained** from the home office,
 - *makes sales,*
 - *approves customers' credit, and*
 - *makes collections from it's customers.*

Accounting System for Branches

Start-up Costs of Opening New Branches:

- Some businesses would **capitalize** & amortize such **start-up costs** on the grounds that such costs are necessary to successful operation at a new location. However, **it is not allowed in IFRS**.
- **In IFRS (IAS 38)** start-up cost in connection with the opening of a branch is recognized **as expenses** of the acct period in which the costs are incurred.

Accounting System For A Branch

Major Accounting Issues:

- ➡ Reciprocal Ledger Accounts /(H.O/Investment in Branch) & Journal Entries
- ➡ Expenses Incurred By Home Office And Allocated To Branches
- ➡ **Alternative** Method of Billing Merchandise Shipments To Branches
 - A) @ Cost
 - B) @ Selling Price
 - C) @COST + Margin

Accounting System For A Branch

- ➡ Separate FS for Branch & For Home Office
- ➡ **Working Paper** For Combined FS
- ➡ Combined FS for Home Office and Branch
- ➡ **Reconciliation** of Reciprocal Ledger A/cs
- ➡ Transaction B/n Branches

Cont.d....

- Accounting records maintained by a branch include a “**Home Office**” **ledger account**
 - It is **Credit for** all merchandise, cash or other assets provided by the home office.
 - H.O is **Debit** for all cash, merchandise, or other assets sent by the branch to the home office or the other branches.

Cont.d.....

- H.O A/c is a **quasi-ownership/partly equity a/c** that shows the **net investment** by the Home Office in the branch.
- End **of an accounting period** when the branch closes its accounting records, the **Income Summary** account is closed to the H.O account.
- **Net income** increases the **credit** balance of the Home Office account; a net loss decreases (debit) this balance.

- In the home office accounting records, a reciprocal ledger account with a title such as "*Investment in Branch*" is maintained.
 - Debit for cash merchandise, and services *provided to the branch*, and for the Net Income reported by the branch.
 - Credit for the cash or other assets *received* from the branch, and for net losses reported by the branch.

- Branch PPE & the related depreciations ledger accounts generally are maintained by the H.O.

Illustration

Assume **JIMMA TRADING Company** bills merchandise to **AGARO Branch** at Home Office cost and that **AGARO Branch** maintains complete accounting records and prepares financial statements.

- Both the Home Office and the branch use the **perpetual** inventory system.
- Equipment used at the branch is **carried** in the Home Office accounting records.
- Certain expenses, such as **advertising and insurance**, incurred by the **Home Office on behalf** of the branch, are billed/allocated to the branch.

Transactions and events **during the first year (2016)** of operations of **AGARO Branch** are summarized below (start-up costs are disregarded):

Transactions

- 1) Cash of Br 1,000 was forwarded by the Home Office to AGARO Branch.
- 2) Merchandise with a Home Office cost of Br 60,000 was shipped by the Home Office to AGARO Branch.
- 3) Equipment was acquired by AGARO Branch for Br 500, to be carried in the Home Office accounting records. (Other plant assets for AGARO Branch generally are acquired by the Home Office.)
- 4) Credit sales by AGARO Branch amounted to Br 80,000; the branch's cost of the merchandise sold was Br 45,000.
- 5) Collections of trade accounts receivable by AGARO Branch amounted to Br 62,000.
- 6) Payments for operating expenses by AGARO Branch totaled Br 20,000.
- 7) Cash of Br 37,500 was remitted by AGARO Branch to the Home Office.
- 8) Operating expenses incurred by the Home Office and charged to AGARO Branch totaled Br 3,000.

Record Each transactions both in the branch and home office as appropriate

Typical Home Office and Branch Transactions and Events under Perpetual Inventory System

Home Office Accounting Records Journal Entries			AGARO Branch Accounting Records Journal Entries		
1. Investment in AGARO Branch	1,000		Cash	1,000	
Cash		1,000	Home Office a/c		1,000
2. Investment in AGARO Branch	60,000		Inventories	60,000	
Inventories		60,000	Home Office		60,000
3. Equipment: AGARO Branch	500		Home Office	500	
Investment in AGARO Branch		500	Cash		500
4. None			Trade Accounts Receivables	80,000	
			Sales		80,000
			Cost of Goods Sold	45,000	
			Inventories		45,000
5. None			Cash	62,000	
			T/Accounts Receivables		62,000
6. None			Operating Expenses	20,000	
			Cash		20,000
7. Cash	37,500		Home Office	37,500	
Investment in AGARO Branch		37,500	Cash		37,500
8. Investment in AGARO Branch	3,000		Operating Expenses	3,000	
Operating Expenses		3,000	Home Office		3,000

In the Home Office accounting records, the **Investment in AGARO Branch** ledger account has a **debit balance of Br 26,000 before** the accounting records are closed and the branch net income of Br 12,000 ($\text{Br } 80,000 - \text{Br } 45,000 - \text{Br } 20,000 - \text{Br } 3,000 = \text{Br } 12,000$) is transferred to the Investment in AGARO Branch ledger account, as illustrated below:

Investment in AGARO Branch Account				
Date	Explanation	Debit	Credit	Balance
2016	Cash sent to branch	1,000		1,000 Dr
	Merchandise billed to branch at Home Office cost	60,000		61,000 Dr
	Equipment acquired by branch, account by HO		500	60,500 Dr
	Cash received from branch		37,500	23,000 Dr
	Operating expenses billed to branch	3,000		26,000 Dr

In the accounting records of **AGARO Branch**, the **Home Office ledger account** has a credit balance of Br 26,000 (before the accounting records are closed and the net income of Br 12,000 is transferred to the Home Office account), as shown below:

Home Office Account				
Date	Explanation	Debit	Credit	Balance
2016	Cash received from the office		1,000	1,000 Cr
	Merchandise received from Home Office		60,000	61,000 Cr
	Equipment Acquired	500		60,500 Cr
	Cash Sent to Home Office	37,500		23,000 Cr
	Operating expenses billed by Home Office		3,000	26,000 Cr

Working Paper for Combined Financial Statements

- A working paper for combined financial statements has **three purposes**:
 1. To combine ledger account balances for like revenue, expenses, assets, and liabilities,
 2. To eliminate any **intra-company profits or losses**, and
 3. To eliminate the reciprocal accounts

JIMMA TRADING Company

WORKING PAPER FOR COMBINED FINANCIAL STATEMENTS OF HO AND AGARO BRANCH FOR YEAR ENDED DECEMBER 31, 2016 (PERPETUAL INVENTORY SYSTEM: AT COST)

	Adjusted Trial Balance		Elimination	Combined
	Home Office	Branch		
	Dr (Cr)	Dr (Cr)	Dr (Cr)	Dr (Cr)
Income Statement				
Sales	(400,000)	(80,000)		(480,000)
Cost of Goods Sold	235,000	45,000		280,000
Operating Expenses	90,000	23,000		113,000
Net Income	75,000	12,000		87,000
Totals	-0-	-0-	-0-	-0-
Statement of Retained Earnings				
Retained Earnings, Jan.1, 2016	(70,000)			(70,000)
Net Income from above	(75,000)	(12,000)		(87,000)
Dividends Declared	40,000			40,000
Retained Earnings, Dec.31,2016				(117,000)
Totals				-0-
Balance Sheet				
Cash	25,000	5,000		30,000
Trade Accounts Receivables	39,000	18,000		57,000
Inventories	45,000	15,000		60,000
Investment in AGARO Branch	26,000		a (26,000)	
Equipment	150,000			150,000
Accumulated Depreciation	(10,000)			(10,000)
Trade Accounts Payable	(20,000)			(20,000)
Home Office		(26,000)	a 26,000	
Common Stock, Br 10 par	(150,000)			(150,000)
Retained Earnings from above				(117,000)
Totals	-0-	-0-	-0-	-0-

Combined Income Statement

JIMMA TRADING Company Combined Income Statement For Year Ended December 31, 2016	
Sales	Br 480,000
Cost of goods sold	<u>280,000</u>
Gross margin on sale	Br 200,000
Operating expenses	<u>113,000</u>
Net income	<u>Br 87,000</u>
Basic earnings per share of common stock	<u>Br 5.80</u>

Statement of Retained Earnings

JIMMA TRADING Company Statement of Retained Earnings For Year Ended December 31, 2016	
Retained earnings, beginning of year	Br 70,000
Add: Net income	<u>87,000</u>
Subtotal	Br 157,000
Less: Dividends (Br 2.67 per share)	<u>40,000</u>
Retained earnings, end of year	<u>Br117,000</u>

Balance Sheet

JIMMA TRADING Company

Balance Sheet

December 31, 2016

Assets:

Cash		Br 30,000
Trade accounts receivable (net)		57,000
Inventories		60,000
Equipment	Br150,000	
Less: Accumulated depreciation	<u>10,000</u>	<u>140,000</u>
Total assets		<u>Br 287,000</u>

Liabilities & Stockholders' Equity:

Liabilities

Trade accounts payable	Br 20,000
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Stockholders' equity

Common Stock, Br 10 par, 15,000 shares authorized, issued, and outstanding	Br150,000	
Retained earnings	<u>117,000</u>	<u>267,000</u>
Total liabilities & stockholders' equity		<u>Br 287,000</u>

Home Office Adjusting and Closing Entries and Branch Closing Entries

The Home Office's equity-method adjusting and closing entries for branch operating results and the branch's closing entries on December 31, 2016, are shown below (explanations for the entries are omitted):

Home Office Accounting Records Adjusting and Closing Entries	AGARO Branch Accounting Records Closing Entries
None	Sales80,000 Cost of Goods sold45,000 Operating Expenses23,000 Income Summary12,000
Investment in AGARO Branch12,000 Income: AGARO Branch12,000	Income Summary12,000 Home Office12,000
Income: AGARO Branch12,000 Income Summary12,000	None

II) Billing of Merchandise to Branches at Prices above Home Office Cost

- The Home Offices of some business enterprises bill merchandise shipped to branches at Home Office cost plus a markup percentage or retail selling prices.
- Change one assumption of the former example to: the home office bills merchandise shipped to branches at 50% above cost. The merchandise shipment in the previous example is thus billed at 90,000 ($60,000 + 50\%$ mark up of 30,000) and are recorded as follows:

II) Billing of Merchandise to Branches at Prices above Home Office Cost

- ➡ AGARO Branch recorded the merchandise received from the Home Office **at billed prices of Br 90,000;**
- ➡ the Home Office recorded the shipment by credits of Br **60,000 to Inventories and Br 30,000 to Allowance for Overvaluation of Inventories (AFOVI): AGARO Branch.**
- ➡ Use of the allowance account enables the Home Office to maintain a record of the cost of merchandise shipped to AGARO Branch as well as the amount of the **unrealized gross profit** on the shipments.

☞ Under this assumption, the journal entries for the first year's events and transactions by the Home Office and AGARO Branch are the same as those presented above **except** the journal entries for shipments of merchandise from the Home Office to AGARO Branch.

☞ These shipments (Br **60,000 Cost + 50%** markup on cost = Br 90,000) are recorded under the perpetual inventory system as follows:

Home Office Accounting Records Journal Entries	AGARO Branch Accounting Records Journal Entries
Investment in 90,000 AGARO Branch Inventories 60,000 AFOVI 30,000 23 Sep 2026	Inventories 90,000 Home Office 90,000 34

- In the accounting records of the Home Office, the **Investment in AGARO Branch ledger account** below now has a debit balance of Br 56,000 before the accounting records are closed and the branch net income or loss is entered in the Investment in AGARO Branch account.
- This account is Br **30,000** larger than the Br 26,000 balance in the prior illustration. The increase represents the 50% markup over cost (Br 60,000) of the merchandise shipped to the AGARO Branch.

Investment in AGARO Branch a/c				
Date	Explanation	Debit	Credit	Balance
2016	Cash sent to branch	1,000		1,000 Dr
	Merchandise billed to branch at 50% over cost	90,000		91,000 Dr
	Equipment acquired by branch, carried in HO		500	90,500 Dr
	Cash received from branch		37,500	53,000 Dr
	Operating expenses billed to branch	3,000		56,000 Dr

- In the accounting records of AGARO Branch, ***the Home Office ledger account*** now has a credit balance of \$56,000; before the accounting records are closed and the branch net income or loss is entered in the Home Office account, as illustrated below:

Home Office a/c				
Date	Explanation	Debit	Credit	Balance
2016	Cash received from the office		1,000	1,000 Cr
	Merchandise received from Home Office		90,000	91,000 Cr
	Equipment Acquired	500		90,500 Cr
	Cash Sent to Home Office	37,500		53,000 Cr
	Operating expenses billed by Home Office		3,000	56,000 Cr

Working Paper When Billings to Branches Are at Prices above Cost

- When a Home Office bills merchandise shipments to branches at prices above Home Office cost, *preparation of the working paper for combined financial statements is facilitated by analysis of the flow of merchandise to a branch*, such as the following for AGARO Branch of JIMMA TRADING Company:

Analysis of the flow of merchandise to a branch, such as the following for **AGARO Branch** of **JIMMA TRADING Company** :

JIMMA TRADING Company Flow of Merchandise for AGARO Branch During 2016			
	Billed Price	HO Cost	Markup (50% of Cost)
Beginning Inventories	-0-	-0-	-0-
Add: Shipments from Home Office	<u>Br 90,000</u>	<u>Br 60,000</u>	<u>Br 30,000</u>
Available for	Br 90,000	Br 60,000	Br 30,000
Less: Ending Inventories	<u>22,500</u>	<u>15,000</u>	<u>7,500</u>
Cost of Goods Sold	<u>Br 67,500</u>	<u>Br 45,000</u>	<u>Br 22,500</u>

The foregoing analysis provides in the Markup column the information needed for the Eliminations column in the working paper for combined financial statements below:

JIMMA TRADING COMPANY

Working Paper for Combined Financial Statements For the year ended Dec 31, 2016

(Perpetual Inventory System and Above Cost)

	Adjusted Trial Balances		Elimination	Combined
	Home Office	Branch		
	Dr (Cr)	Dr (Cr)		
Income Statement				
Sales	(400,000)	(80,000)		(480,000)
Cost of Goods Sold	235,000	67,500	a (22,500)	280,000
Operating Expenses	90,000	23,000		113,000
Net Income (loss)	75,000	(10,500)	b 22,500	87,000
Totals	-0-	-0-	-0-	-0-
Statement of Retained Earnings				
Retained Earnings, Jan.1, 2016	(70,000)			(70,000)
Net Income from above	(75,000)	10,500	b (22,500)	(87,000)
Dividends Declared	40,000			40,000
Retained Earnings, Dec.31,2016				(117,000)
Totals				-0-
Balance Sheet				
Cash	25,000	5,000		30,000
Trade Accounts Receivables	39,000	18,000		57,000
Inventories	45,000	22,500	a (7,500)	60,000
AFOVI	(30,000)		a 30,000	
Investment in AGARO Branch	56,000		c (56,000)	
Equipment	150,000			150,000
Accumulated Depreciation	(10,000)			(10,000)
Trade Accounts Payable	(20,000)			(20,000)
Home Office		(56,000)	c 56,000	
Common Stock, Br 10 par	(150,000)			(150,000)
Retained Earnings from above				(117,000)
Totals	-0-	-0-	-0-	-0-

Elimination Journal Entries while preparing combined FSs:

a) To reduce ending inventories and cost of goods sold of branch to cost, and to eliminate unadjusted balance of Allowance of Overvaluation of Inventories: AGARO Branch ledger account.

AFOVI	30,000	
Cost of Goods Sold		22,500
Inventory		7,500

(b) To increase income of Home Office by portion of merchandise markup that was realized by branch sales.

Unrealized Gross Profit	22,500	
Realized Income: AGARO Branch		22,500

(c) To **eliminate** reciprocal ledger account balances

Home Office	56,000	
Investment in AGARO Branch		56,000

Combined Financial Statements

- Because the amounts in the Combined column of the working paper are the same as in the working paper prepared when the merchandise shipments to the branch were billed at Home Office cost, **the combined financial statements are identical to those illustrated when merchandise is shipped at Home Office cost.**

Reconciliation of Reciprocal Ledger Accounts

At the end of an accounting period, the balance of the Investment in **Branch ledger account** in the accounting records of the **Home Office** may not agree with the balance of the Home Office account in the accounting records of the branch because certain transactions may have been recorded by **one office but not by the other office**.

There might be a number of **reconciling** items between **Investment** in Branch and Home Office accounts. These are: -

- **Inventories may be in-transit**
- Trade Accounts Receivables of Branch may be collected by Home Office
- Trade Accounts Receivables of the **Home Office may** be collected by the Branches
- **Branches may acquire plant** assets to be maintained by HO without the knowledge of HO

Reconciliation of Reciprocal Ledger Accounts

The situation is comparable to that of **reconciling the ledger account for Cash in Bank** with the balance in the Monthly Bank Statement. The lack of agreement between the reciprocal ledger account balances causes no difficulty during an accounting period, but at the end of **each period the reciprocal account balances must be brought into agreement** before combined financial statements are prepared.

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As an illustration of the procedure for reconciling reciprocal ledger account balances at year-end, assume that the Home Office and branch accounting records of Mercy Company and its branch, Arvin Branch contain the following data on December 31, 2016:

Accounting Records of Home Office

Investment in Arvin Branch				
Date	Explanation	Debit	Credit	Balance
2016				
Nov. 30	Balance (BBF)			62,500 Dr
Dec. 10	Cash received from branch		20,000	42,500 Dr
27	Collection of branch trade accounts receivable		1,000	41,500 Dr
29	Merchandise shipped to branch	8,000		<u>49,500</u> Dr

Cont....

Accounting Records of Arvin Branch

Home Office Account				
Date	Explanation	Debit	Credit	Balance
2016				
Nov. 30	Balance (BBF)			62,500 Cr
Dec. 10	Cash sent to Home Office	20,000		42,500 Cr
27	Acquired equipment	3,000		39,500 Cr
29	Collection of HO trade accounts receivable		2,000	<u>41,500 Cr</u>

Compare the two reciprocal ledger accounts and pass adjusting entries for the four reconciling items:

Comparison of the two reciprocal ledger accounts discloses four reconciling items, describing as follows:

1. A **debit** of Br 8,000 in the Investment in **Arvin Branch ledger account without** a related credit in the Home Office account.
- On December 29, 2016, the home office shipped merchandise costing \$8,000 to the branch. The home office debits its reciprocal ledger account with the branch on the date merchandise is shipped, but no journal entry had been made by Arvin Branch. Assume use of the perpetual inventory system.

Inventories in Transit	8,000	
Home Office		8,000

Cont...

2. A **credit** of Br 1,000 in the **Investment in Arvin Branch** ledger account without a related debit in the Home Office account.

- On December 27, 2016, trade accounts receivable of the branch that amounts \$1,000 were collected by the home office. The collection was recorded by the home office by a debit to Cash and a credit to Investment in Arvin Branch. No journal entry had been made by Arvin Branch.

Home Office	1,000	
Trade Accounts Receivable		1,000

Cont...

3. A **debit** of Br 3,000 in the Home Office ledger account without a related credit in the Investment in Arvin Branch account.

- On December 28, 2016, the branch acquired equipment for \$3,000. Because the equipment used by the branch is carried in the accounting records of the home office, the journal entry made by the branch was a debit to Home Office and a credit to Cash. No journal entry had been made by the home office.

Equipment: Arvin Branch	3,000	
Investment in Arvin Branch		3,000

Cont...

4. A credit of Br 2,000 in the Home Office ledger account without a related debit in the Investment in Arvin Branch account.

- On December 30, 2016, trade accounts receivable of the home office that amounts \$2,000 were collected by Arvin Branch. The collection was recorded by Arvin Branch by a debit to Cash and a credit to Home Office. No journal entry had been made by the home office.

Investment in Arvin Branch	2,000
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Trade Accounts Receivable	2,000
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The effect of the foregoing end-of-period journal is to update the reciprocal ledger accounts, as shown by the following reconciliation:

MERCY COMPANY-HOME OFFICE AND ARVIN BRANCH
Reconciliation of Reciprocal Ledger Accounts
December 31, 2016

	Investment in Arvin Branch Account	Home Office Account
Balances before adjustments	Br 49,500 Dr	Br 41,500 Cr
Add: (1) Merchandise shipped to branch by HO		8,000
(4) HO trade A/Rec collected by Branch	2,000	
Less: (2) Branch A/Rec collected by HO		(1,000)
(3) Equipment acquired by branch	<u>(3,000)</u>	—
Adjusted balances	<u>Br 48,500 Dr</u>	<u>Br 48,500 Cr</u>

Transactions between Branches (Inter-branch)

- Efficient operation may on occasion require that assets be transferred from one branch to another. A branch does not carry a reciprocal account with another branch but records the transfer in the Home Office account.
- For example if Branch A transfers merchandise to Branch B, Branch A debits Home Office and credits Inventories, while Branch B debits Inventories and credit Home Office. The Home Office records the transfer by debiting Investment in Branch B and crediting Investment in Branch A.
- The additional freight cost due to the indirect routing does not justify increase in the carrying amount of inventories. Only freight costs of the direct shipment from the home office are included in inventory costs.

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Illustration:

The Home Office shipped merchandise costing Br 6,000 to Dana Branch and paid freight costs of Br 400. Subsequently, the Home Office instructed Dana Branch to transfer this merchandise to Evan Branch.

- Freight costs of Br 300 were paid by Dana Branch to carry out this order.
- If the merchandise had been shipped directly from the Home Office to Evan Branch, the freight costs would have been Br 500.

The journal entries required in the three sets of accounting records (assuming that the perpetual inventory system is used) as follows:

1. In the Accounting Records of Home Office:

Investment in Dana Branch	6,400	
Inventories		6,000
Cash		400

To record shipment of merchandise and payment of freight costs

Investment in Evan Branch	6,500	
Excess Freight Cost-Interbranch Transfer Expense	200	
Investment in Dana Branch		6,700

To record transfer of merchandise from Dana Branch to Evan Branch under instruction of Home Office

Interbranch freight of Br 300 paid by Dana Branch caused total freight costs on this merchandise to exceed direct shipment cost by Br 200 ($\text{Br } 400 + \text{Br } 300 - \text{Br } 500 = \text{Br } 200$).

2. In the Accounting Records of Dana Branch:

Inventories	6,000	
Freight-In	400	
Home Office		6,400

To record receipt of merchandise from Home Office with freight costs paid in advance by Home Office

Home Office	6,700	
Inventories		6,000
Freight In (or Inventories)		400
Cash		300
To record transfer of merchandise to Evan Branch under instruction of home office and payment of freight costs of \$300.		

3. In Accounting Records of Evan Branch:

Inventories	6,000	
Freight In	500	
Home Office		6,500

To record transfer of merchandise to Evan Branch under instruction of Home Office and Normal freight costs billed by Home Office.

END
CHAPTER
2